

“THIS TIME IS DIFFERENT”

When asset markets are taken over by mass speculation and prices reach nosebleed territory, a common refrain can often be heard: “This time is different.” Typically, the logic goes that the markets have evolved from more primitive years, and financial engineering innovations have led to robust markets that can’t possibly crash. Time and again this thesis has been refuted by subsequent market crashes. In their well-regarded book *This Time Is Different: Eight Centuries of Financial Folly*, Carmen Reinhart and Kenneth Rogoff deliver a 300-page tour de force to prove that this time is never different.

They describe how “this time is different” thinking was used to justify the sustainability of jubilant markets prior to the 1929 crash that led to the Great Depression. Proponents of “this time is different” thinking claimed that business cycles had been cured by the creation of the Federal Reserve in 1913. The thinking was that the Federal Reserve could use monetary policy to boost economies when production and consumption were flagging, and they could reel in markets when they showed signs of overheating. Others pointed to increasing free trade, declining inflation, and scientific methods being applied to corporate management that were leading to much more accurate production and inventory levels.²⁸

In the October 16, 1929, issue of the *New York Times*, Yale economist Irving Fisher declared, “Stock prices have reached what looks like a permanently high plateau.”²⁹ His proclamation would go down as the worst stock tip in history, as eight days later the market dropped by 11 percent. On